

Calendar Line 4

Case Name: *SMTC Corporation et al. v. ChargePoint, Inc.*

Case No.: 25CV457660

I. BACKGROUND

Plaintiffs SMTC Corporation and SMTC Manufacturing Corporation of California (collectively “SMTC” or “Plaintiffs”) bring this breach of contract action against defendant ChargePoint, Inc. (“ChargePoint” or “Defendant”).

SMTC is a mid-size contract manufacturer of electronics. (Complaint, ¶ 1.) ChargePoint develops, sells, and operates a large network of elective vehicle charging stations. (*Ibid.*)

According to the allegations of the complaint, in August 2020, the parties entered into a Master Supply Agreement (“MSA”), effective on July 13, 2020. Under the MSA, SMTC would develop, supply, support, and provide electronics manufacturing services for use in ChargePoint’s applications and products. (Complaint, ¶ 2.) To perform these manufacturing services, SMTC: [REDACTED]

[REDACTED] (*Id.* at ¶ 3.)

Based on the terms of the MSA, where [REDACTED]
[REDACTED]
[REDACTED] (Complaint, ¶ 4.) Similarly, [REDACTED]
[REDACTED] (*Id.* at ¶ 5.) As part of the terms of the MSA, SMTC [REDACTED]
[REDACTED] (*Id.* at ¶ 16.)

[REDACTED]
[REDACTED] (Complaint, ¶¶ 12-13.) [REDACTED]
[REDACTED] (*Id.* at ¶ 13.) Additionally, SMTC supported ChargePoint in its \$14 million grant application to the California Energy Commission (“CEC”) for a manufacturing grant, [REDACTED]
[REDACTED] (*Ibid.*) [REDACTED] (*Ibid.*)

[REDACTED]
[REDACTED] (Complaint, ¶ 16.) In May 2022, [REDACTED]
[REDACTED] (*Id.* at ¶ 17.)

Between September 2023 and December 2024, ChargePoint went through a restructuring of its organization and reduced its global workforce by 10%. (Complaint, ¶ 6.) Over that period, ChargePoint went public and had its stock price tumble. (*Id.* at ¶ 7.) [REDACTED]

[REDACTED] (*Id.* at ¶ 16.) Plaintiffs believe that ChargePoint’s financial challenges were a result of its [REDACTED]

[REDACTED] (*Id.* at ¶ 8.) In June 2024, ChargePoint was sued by one of its other manufacturers, Masterwork Electronics, Inc. in the same Court for similar misconduct. (*Id.* at ¶ 10.)

SMTC [REDACTED]

[REDACTED] (Complaint, ¶ 18.) [REDACTED]

[REDACTED] (*Id.* at ¶ 27.)

On November 26, 2024, after several warnings, SMTC gave notice to ChargePoint that pursuant to Section 25.3 of the MSA, it was terminating the MSA in light of ChargePoint’s breaches. (Complaint, ¶ 74.) Forty-five days after notice of termination, on January 10, 2025, [REDACTED] and the MSA was terminated. (*Id.* at ¶¶ 76-77.)

On January 28, 2025, SMTC filed its complaint, asserting the following causes of action:

- 1) **Breach of Contract – MSA § 4.8;**
- 2) **Breach of Contract – MSA § 4.9;**
- 3) **Breach of Covenant of Good Faith and Fair Dealing; and**
- 4) **Tortious Interference with Contractual Relations.**

On March 20, 2025, ChargePoint filed a demurrer to each cause of action in the complaint. SMTC opposes the motion and ChargePoint filed a reply.¹

II. LEGAL STANDARD ON DEMURRER

In ruling on a demurrer, the court treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not

¹ The parties have filed each of their respective documents under seal. For purposes of posting this tentative, the Court has redacted the sealed information. The parties have received an unredacted version of the tentative order.

concern the reviewing court.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.)

III. DEFENDANT’S REQUEST FOR JUDICIAL NOTICE

On May 27, 2025, ChargePoint filed a request for judicial notice, apparently in support of its demurrer but on the same day it filed its reply. ChargePoint requests the Court take judicial notice of statements in the Declaration of Carlos Diaz in Support of Plaintiff’s Application for a Right to Attach Order and Issuances of Writ. First, the request was not filed with the demurrer or before the opposition, and therefore, SMTC did not have the opportunity to respond or object to the request. Further, while courts may take judicial notice of documents on file with the court, they may not take judicial notice of the truth of the matters stated therein. (See *People v. Woodell* (1998) 17 Cal.4th 448, 455 [“While a trial court is permitted to “take judicial notice of the existence of judicial opinions and court documents, along with the truth of the results reached—in the documents such as orders, statements of decision, and judgments— [] the court cannot take judicial notice of the truth of hearsay statements in decisions or court files, including pleadings, affidavits, testimony, or statements of fact.”].) Here, ChargePoint relies on specific statements in the declaration. Thus, judicial notice is improper and DENIED.

IV. FIRST AND SECOND CAUSES OF ACTION – BREACH OF CONTRACT

ChargePoint demurs to the first two causes of action on the following grounds: 1) ChargePoint’s obligations under the MSA are contingent on SMTC’s prior performance and other conditions; 2) the claims do not allege satisfaction or performance of the condition precedent; and 3) the claims do not allege breach with specificity.

To state a claim for breach of contract, the plaintiff must allege “(1) the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to plaintiff.” (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1388 (*Careau*).)

SMTC’s first and second causes of action are for breach of the MSA §§ 4.8 and 4.9.

Section 4.8 states:

Aging Material. If Supplier purchases material according to Lead Time and pursuant to either a RTF² accepted by ChargePoint or a written authorization from ChargePoint, and if such material has been of residing in Supplier inventory for over six (6) months thereafter, ChargePoint will deposit into a dedicated cash account at Supplier the value of the purchase price for such material (“Aged Material”), upon request by Supplier. Prior to such deposit, the parties will calculate the value of the Aged Material in each Product (based on quoted material unit cost multiplied by quantity per Product). For each Product

² RTF stands for “response to forecast” provided SMTC which indicates its ability to supply the quantity of products in ChargePoint’s MPS. (See Complaint, ¶ 28.)

shipped, such value will accrue, and at the end of each month Supplier will issue ChargePoint a credit memo equal to the total value accrued in the preceding month. Supplier assumes all risk of loss of Aged Material, and Aged Material will be assumed to be consumed prior to any other like material.

(Complaint, Ex. A, § 4.8.)

Section 4.9 of the contract states:

Obsolescence. If ChargePoint makes a Change that obsoletes material purchased by Supplier pursuant to a RTF , and if such material cannot be reasonably redirected, sold, or otherwise put to use by Supplier within forty-five (45) days, ChargePoint will disposition such material and reimburse Supplier at the purchase price of that obsolete material based on standard terms. As requested by ChargePoint, Supplier will either transfer title of such material to ChargePoint or scrap such material. ChargePoint is liable for Aged Material or obsolete material only to the extent that Supplier communicated [sic] in writing to the relevant ChargePoint sourcing contact the Lead Time and any component minimum order quantity giving rise to quantities in excess of ChargePoint's forecast.

(Complaint, Ex. A, § 4.9.)

a. SMTC's Satisfaction or Performance of Condition Precedent

ChargePoint first argues that both sections at issue in the MSA are contingent on certain conditions having been performed before payment obligation accrues. It argues that section 4.8 is contingent on material being in SMTC's inventory for six months and SMTC having purchased the material according to Lead Time and pursuant to either an RTF or written authorization by ChargePoint. (Demurrer, p. 5:20-23.) Additionally, it asserts that section 4.9 is dependent on SMTC having purchased material pursuant to an RTF, according to the Lead Time, and the material being obsoleted by a "Change." (Demurrer, p. 6:6-9.) ChargePoint argues that SMTC fails to allege compliance with the conditions precedent and therefore the breach of contract claims necessarily fail. (Demurrer, p. 6:21-22.) It further argues that conditions that take the form of an event must be pled with specificity and that the pleading's general and conclusory allegations do not meet the standard. (Demurrer, pp. 6:28-7:3, relying on *Careau*, *supra*, 222 Cal.App.3d at p. 1389.)

The *Careau* court itself noted that satisfaction or performance of one or more conditions precedent "can be satisfied by allegations in general terms. It is sufficient for a plaintiff to simply allege that he has 'duly performed all the conditions on his part.'" (*Careau*, *supra*, 222 Cal.App.3d at p. 1389.) However, the Court also acknowledged "two important caveats" to this rule: 1) where the condition is an event, a specific allegation of the happening of the condition is a necessary part of the pleading; and 2) where the specific allegations of a pleading do not support the more general allegation of performance, the pleading will be controlled by the more specific allegations. (*Id.* at pp. 1389-1390.)

In opposition, SMTC asserts that it consistently performed and satisfied each of its obligations under the MSA in connection with the two breach of contract claims. (Opposition, p. 4:27-28, citing Complaint ¶¶ 87, 95.)

Here, SMTC alleges the following: 1) it performed all of its contractual obligations under the MSA (Complaint, ¶ 22); 2) [REDACTED] (Complaint, ¶ 32); 3) [REDACTED] (Complaint, ¶ 35); and 4) SMTC has consistently performed and satisfied each of its obligations under the MSA (Complaint, ¶¶ 87, 95.) These allegations sufficiently allege performance of the obligations under the MSA by SMTC. The Court is not persuaded that any further detail needs to be alleged. Accordingly, the Court declines to sustain the demurrer on this basis.

b. Alleging Breach with Specificity

ChargePoint next argues the first two causes of action fail because the pleading does not allege actual breach with sufficient specificity. In particular, it argues that SMTC claims breach of payment obligations and it therefore must plead the specific amounts it claims ChargePoint is obligated to pay and [REDACTED] (Demurrer, p. 8:1-12, relying on *Levy v. State Farm Mutual Automobile Ins. Co.* (2007) 150 Cal.App.4th 1, 5 (*Levy*).)

In *Levy*, the Court stated that “[f]acts alleging a breach, like all essential elements of a breach of contract cause of action, must be pleaded with specificity.” Read in context, however, the opinion does not announce a new pleading standard for breach of contract causes of action akin to the pleading standard for fraud. (See *Levy, supra*, at pp. 5-6.) Rather, the Court of Appeal merely clarified that a breach of contract may not be alleged in a conclusory manner. (*Ibid.*) Furthermore, *Levy* does not stand for the proposition that a plaintiff must allege the specific amount owed by a defendant or that a plaintiff must allege facts to allow a defendant to calculate the amounts owed. Here, the pleading alleges the exact terms of the written agreement and alleges the exact portions of the agreement that were breached by ChargePoint. For pleading purposes, this is sufficient. (See *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 777 [“The terms of a contract are reasonably certain if they provide a basis for determining the existence of a breach and for giving an appropriate remedy.”].)

Based on the foregoing, the demurrer to the first and second causes of action is OVERRULED.

V. THIRD CAUSE OF ACTION – BREACH OF COVENANT OF GOOD FAITH AND FAIR DEALING

“The implied covenant of good faith and fair dealing is a contractual relationship and does not give rise to an independent duty of care.” (*Ragland v. U.S. Bank National*

Assn. (2012) 209 Cal.App.4th 182, 206.) “The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation. ‘The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract’s purpose.’ . . . ‘In essence, the covenant is implied as a supplement to the express contractual covenants, to prevent a contracting party from engaging in conduct which (while not technically transgressing the express covenants) frustrates the other party’s rights to the benefits of the contract.’” (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031-1032 [internal citations omitted].) Further, “[t]he covenant also requires each party to do everything the contract presupposes the party will do to accomplish the agreement’s purposes.” (*Thrifty Payless, Inc. v. The Americana at Brand, LLC* (2013) 218 Cal.App.4th 1230, 1244.) “[W]here breach of an actual term is alleged, a separate implied covenant claim, based on the same breach, is superfluous.” (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 327; see also *Levy v. Only Cremations for Pets, Inc.* (2020) 57 Cal.App.5th 203, 215.)

ChargePoint argues the third cause of action “overlaps completely” with the first and second causes of action and is therefore superfluous and should be dismissed. (Demurrer, p. 9:1-2.)

The third cause of action appears to be based, at least in part, on the following conduct:

- 1) [REDACTED]; 2) [REDACTED]
[REDACTED]; 3) [REDACTED]
[REDACTED]; and 4)
[REDACTED]

In opposition, SMTC argues that the Complaint sufficiently alleges ChargePoint’s “bad faith tactics” that go beyond a “mere ‘dress-up’ of breach of contract allegations.” (Opposition, p. 10:26-27.) Here, based on the allegations of the third cause of action, the breach of covenant claim, in part, goes beyond the mere breach of sections 4.8 and 4.9 of the MSA and is therefore not based on the same breach as alleged in the first and second causes of action. (See e.g., *Levy v. Only Cremations for Pets, Inc.* (2020) 57 Cal.App.5th 203, 215 [“‘If the allegations . . . simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as *no additional claim is actually stated.*’”][emphasis original].) The pleading alleges that ChargePoint frustrated SMTC’s rights to the benefits of the contract and this is sufficient to support a breach of covenant claim. (See Complaint, ¶¶ 72-73, 98.) While ChargePoint’s delay in performance under the MSA may be considered the same claim as the first and second causes of action, a demurrer may not be sustained to a portion of a cause of action. (See *Brown v. Ralphs Grocery Co.* (2018) 28 Cal.App.5th 824, 844, citing *Caliber Bodyworks, Inc. v. Superior Ct.* (2005) 134 Cal.App.4th 365, 385 [“The appropriate procedural device for challenging a portion a cause of action seeking an improper remedy is a motion to strike.”]; *Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047 [“a demurrer cannot rightfully be sustained to part of a cause of action”].)

Based on the foregoing, the demurrer to the third cause of action is OVERRULED.

VI. FOURTH CAUSE OF ACTION - TORTIOUS INTERFERENCE WITH CONTRACTUAL RELATIONS

“Tortious interference with contractual relations requires ‘(1) the existence of a valid contract between the plaintiff and a third party; (2) the defendant’s knowledge of that contract; (3) the defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.’” (*Ixchel Pharma, LLC v. Biogen, Inc.* (2020) 9 Cal.5th 1130, 1141.) “It is generally not necessary that the defendant’s conduct be wrongful apart from the interference with the contract itself.” (*Ibid.*)

As to the fourth cause of action, ChargePoint argues that 1) the claim is not based on an independent duty owed by ChargePoint; 2) the claim alleges harm that is accounted for in the MSA and bars the claim; and 3) the complaint fails to allege any interference or malicious intent by ChargePoint.

a. Independent Duty

ChargePoint first argues that conduct amounting to a breach of contract only becomes tortious when it also violates a duty independent of the contract. (Demurrer, p. 10:17-19, citing *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 24-25 (*Rattagan*)). ChargePoint quotes the following from *Rattagan*: “a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties’ contract, depriving the plaintiff of the benefits the contract ensures, the defendant’s liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties.” (*Id.* at p. 37.) *Rattagan*, however, did not address tortious interference with contractual relations between a plaintiff and third party. Instead, the Supreme Court addressed a defendant’s breach of a contractual relationship with the plaintiff. Thus, *Rattagan* is distinguishable from the present case. In a claim for tortious breach of contractual relations, the tort is the *intentional* acts designed to induce a breach or disrupt a contractual relationship.

The additional case cited by ChargePoint to argue that refusal to perform on a contract is a breach of contract that cannot be “transmuted into tort liability by claiming that the breach detrimentally affected the promisee’s business” is likewise distinguishable. (See Demurrer, p. 11:20-24, citing *Arntz Contracting Co. v. St. Paul Fire & Marine Ins. Co.* (1996) 47 Cal.App.4th 464, 479 (*Arntz*)). *Arntz* involved an action between a general contractor and its surety. The contractor recovered against the surety for claims of breach of contract in the surety’s failure to honor a promise to bond future projects, and interference with prospective economic relations because the surety’s termination of bonding and other acts frustrated the contractor’s ability to secure bonding from other sureties. (*Id.* at p. 471.) Thereafter, the Court of Appeal reversed the judgment as to the claim for interference with prospective economic relations, determining that there was not sufficient evidence of wrongful conduct to support a

jury verdict in favor of the contractor. (*Ibid.*)³ In a claim for tortious interference with contractual relations, however, “the defendant’s conduct does not have to be wrongful apart from the interference with the contract itself[.]” (See *Pech v. Doniger* (2022) 75 Cal.App.5th 443, 457.) Moreover, the *Artz* court itself acknowledged that “a contracting party cannot be held tortiously liable for interfering with *its own contract*.” (*Artz, supra*, at p. 479 [emphasis added], citing *Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 513-514.) Thus, *Artz* is inapposite.

As such, the Court declines to sustain the demurrer on the ground Plaintiff must allege an independent duty.

b. MSA Accounts for Harm Alleged

ChargePoint again relies on *Rattagan* to argue that a plaintiff must allege harm that was not reasonably contemplated or accounted for by the contracting parties. For the same reasons as above, this argument is not persuasive. *Rattagan* discussed a contractual relationship between the defendant and plaintiff, not a third-party contractual relationship.

However, as is recognized by the authority cited in SMTC’s opposition, “‘a contracting party c[an] not be held liable for interfering with the performance of [third party contracts] if that claim hinge[s] on the defendant’s failure to perform on the original contract.’” (*Caliber Paving Co., Inc. v. Rexford Industrial Realty & Management, Inc.* (2020) 54 Cal.App.5th 175, 186 (*Caliber*).) In *Caliber*, for example, the Court determined that the alleged interference was undertaken through affirmative conduct when the defendant told the third party to take plaintiff off the job contracted for, thereby supporting a claim for tortious interference with contractual relations. In this case, the interference with SMTC’s third-party contracts occurred because ChargePoint failed to pay SMTC in violation of the MSA’s terms, causing SMTC to have to cancel purchases from third party-party suppliers and preventing it from performing on contracts to third-party suppliers. (See Complaint, ¶ 105.) Thus, the Complaint does not sufficiently allege that ChargePoint intended to induce a breach of a third-party contract. (See e.g., *Kasparian v. County of Los Angeles* (1995) 38 Cal.App.4th 242, 261 [“‘The act of inducing the breach must be an intentional one.’ . . . ‘The essential thing is the *purpose to cause the result*. If the actor does not have this purpose, his conduct does not subject him to liability under this rule *even if it has the unintended effect of deterring the third person from dealing with the other.*’”][emphasis original].)

Accordingly, because the pleading does not sufficiently allege the third element of a cause of action for tortious interference with contractual relations, the defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship, the demurrer to the fourth cause of action is SUSTAINED with 15 days leave to amend.⁴

³ Additionally, here, unlike in *Artz*, the Court is concerned only with whether the complaint alleges each element of Plaintiff’s claim, and the Court has not considered anything outside the four corners of the pleading.

⁴ Because the demurrer may be sustained on this basis, the Court need not address the remaining arguments.

VII. CONCLUSION AND ORDER

The demurrer to the first, second, and third causes of action is OVERRULED. The demurrer to the fourth cause of action is SUSTAINED with 15 days leave to amend.

The Court will prepare the final order.

- oo0oo -

Calendar Line 5

Case Name: XIAOLEI HU vs LAURA PATERSON et al

Case Number: 24CV444525

Plaintiff moves to quash nine subpoenas that Defendants have issued for her employment records and records of treating medical providers.

Both parties assert certain procedural deficiencies. Plaintiff criticizes Defendants' compliance with notice requirements, and Defendant argues Plaintiff did not include a declaration to provide evidentiary support for her purported facts. The Court finds neither argument dispositive. The Court is satisfied with Defendants' compliance with notice requirements and Plaintiff's opportunity to object. Also, the Court does not believe a further declaration from Plaintiff is necessary to balance the principal issues related to these subpoenas – the balance of Plaintiff's privacy interests versus Defendants' right to discover information that is relevant or reasonably likely to lead to relevant and admissible evidence.

Where privacy rights are implicated, the requesting party must make a threshold showing that the records sought are directly relevant to the plaintiff's claims and are essential to the fair resolution of the lawsuit. (*Davis v. Superior Court* (1992) 7 Cal.App.4th 1008, 1014.) "Mere speculation as to the possibility that some portion of the records might be relevant to some substantive issue does not suffice" for showing direct relevance as to private information sought in discovery. (*Id.*, at pp. 1017-1020.)

It is true that Plaintiff has made a number of claims that put her medical as well as her employment and wage records at issue. It appears the parties have narrowed their dispute to the topic of pre-incident records that may reveal Plaintiff suffered from preexisting conditions affecting her health and employment. While Defendants argue that Plaintiff's injuries and damages may be due to pre-incident conditions, they provide little explanation as to why this would be so. The subject subpoenas demand all documents and records for Plaintiff without limitation to scope or time. This would necessarily include information regarding any treatment Plaintiff has ever received for any condition she may have had whether related to the subject injuries claimed in this action or not. As written, the subpoenas are overbroad and Plaintiff's objections are well taken.

There are times when preexisting conditions are of sufficient relevance to the issues presented that evidence relating to these conditions is discoverable. The incident in the case occurred on August 8, 2022. In Plaintiff's Response to Form Interrogatory 10.2, she states, "I was diagnosed with anxiety and depression in February 2022 and started taking short term disability leave. The pain caused by the INCIDENT has led to long-term insomnia, *significantly worsening my anxiety and depression, and resulting in my collapse in my office ... on June 29, 2023.*" (Emphasis added.) Thus, Plaintiff has revealed a preexisting condition that was diagnosed six months before the incident, that affected her ability to work, that was worsened by the incident, and that contributed to certain aspects of her claimed injuries. Defendants therefore may be entitled to reasonable exploration into Plaintiff's pre-incident records. But as currently drafted, Defendants' subpoenas contain no limitation to a time period reasonably likely to shed light on a condition diagnosed in February 2022, and the Court has no ability to determine why the subpoenaed entities in the matters before the Court might have such information.